

LONGHORN KENYA LTD

LONGHORN
PUBLISHERS
expanding minds

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT 31ST DECEMBER 2013

	Dec-13 KSHS'000	Dec-12 KSHS'000
Non-Current Assets		
Property plant & equipment	153,847	160,124
Motor vehicles	13,624	13,528
Deferred tax asset	26,828	13,545
Intangible assets	12,997	13,973
Total Non-Current Assets	207,296	201,170
Current Assets		
Clients debtors	522,248	272,043
Pre-payments	14,781	1,014
Total clients cash & bank balances	112,617	52,592
Other current assets - inventories	243,569	85,669
Total Current Assets	893,216	411,318
Total Assets	1,100,511	612,488
Sharecapital & Reserves		
Paid up ordinary share capital	58,500	58,500
Share premium	5,039	5,039
Revenue reserves	360,072	225,220
Proposed dividends	46,800	-
Total Shareholders' Funds	470,411	288,759
Current Liabilities		
Trade payables	619,495	306,790
Tax payable	10,605	16,939
Total Current Liabilities	630,101	323,729
Total Equity & Liabilities	1,100,511	612,488

These unaudited Financial Statements were approved by the Board of Directors on 20th February 2014 and were signed on its behalf by:

Hon. FRANCIS T NYAMMO (Chairman) OGW, MBS MUSYOKI MULI (Managing Director)

LONGHORN KENYA LTD CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME FOR THE SIX MONTHS ENDED 31 DECEMBER 2013

	Dec-13 KSHS'000	Dec-12 KSHS'000
Income		
Gains/(loss) on disposal of assets	2,017	2,708
Other income - sale of books	558,170	525,264
Total Income	560,187	527,972
Expenses		
Direct expenses	276,848	237,619
Professional fees	3,112	4,068
Legal fees	3,238	1,946
Employee costs	84,783	60,032
Directors' emoluments	1,519	1,843
Operational & administrative expenses	103,443	54,279
Provisions for trading gains/losses	33,499	134,142
Depreciation expenses	6,526	8,784
Amortization expenses	4,142	1,086
Total Expenses	517,109	503,799
Operating Profit	43,078	24,174
Profit/(Loss) Before Tax	43,078	24,174
Tax	12,923	7,252
Profit/(Loss) After Tax	30,155	16,922

PRESS STATEMENT

PERFORMANCE

For the period under review the company achieved consolidated sales of Kshs 558.187m, compared with the same period in 2012 where the turnover stood at Kshs 525.264m. The company recorded a consolidated operating profit of Kshs 43.078m. The operating profit was Kshs 24.174m in the same period of the previous year.

The company's growth resilience has been fuelled by bold ventures in the export market where we competitively won various government

tenders to supply school books in Malawi, Rwanda, Tanzania and Uganda. We have also aggressively increased parental uptake through a multiplicity of marketing strategies and quality product offerings. The marketing overtures, school-to-school distribution costs in the export markets and advertising account for the sharp rise in operational and administrative costs whose benefits will be realised in the medium to long-term outputs. Due to an ambitious growth plan the company implemented a new structure to align with strategy, thereby reflecting an increase in employee costs in the short run.

CHALLENGES

The company continues on its growth path in spite of the myriad challenges facing the industry. Introduction of VAT on books in September 2013 was a major setback to our business as it reduced the amount allocated for books per child by 16%. This widened the textbook to child ratio and affected the volumes uptake for the high season stretching September to December 2013.

DIVIDEND

The Directors do not recommend payment of an interim dividend from the half year results.

GROWTH STRATEGIES

The company acquired the intellectual property for Malkiat Singh's course and revision books with a view to expanding our offerings and product range. Malkiat remains the foremost respected doyen of revision materials in Kenya and his *Improve Series* has already begun to refresh and ignite demand in the market. A mix of fresh acquisitions, consolidation of our market leadership in the regional markets, growth in electronic publishing and diversification are among the strategic initiatives that will sustain the company's growth.

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Secretary